

TRIM AND STABLE

- Mazagon Dock Shipbuilders and Cochin Shipyard showed significant average m-cap growth
- The Great Eastern Shipping Company reported higher PAT despite a slight decline in total income

Company	2024/2023 Rank	Average Market Cap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
Mazagon Dock Shipbuilders	138/221	59,643 (177.3)	10,568 (24)	1,809 (73)	32.9	32.8
Cochin Shipyard	211/402	34,339 (332.8)	4,141 (61)	783 (157)	16.6	41.4
The Great Eastern Shipping Company	377/363	15,040 (56.2)	6,119 (-3)	2,614 (2)	23.1	5.5
Garden Reach Shipbuilders & Engineers	389/472	14,216 (131.4)	3,892 (41)	357 (57)	23.1	NA
Shipping Corporation Of India	478/506	10,106 (83.4)	5,262 (-11)	679 (-22)	9.4	10.1

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; TOTAL INCOME, PAT AND ROE FOR FY24; **P/E** IS PRICE-TO-EARNINGS; AVERAGE MARKET CAP, TOTAL INCOME AND PAT IN ₹ CRORE; **FIGURES** IN BRACKETS INDICATE CHANGE IN % YOY; **RESULTS** ARE ON CONSOLIDATED BASIS; NA IS NOT AVAILABLE; **SOURCE:** ACE EQUITY

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market position. However, with a modest ROE of 9.4%, the company is behind its peers, suggesting room for improvement in leveraging equity effectively.

The shipbuilding sector showcased even more pronounced growth. Mazagon Dock Shipbuilders made a remarkable leap from 221st place in 2023 to 138th in the 2024 list, driven by a 177.3% increase in market capitalisation (m-cap), which rose from ₹21,510 crore to ₹59,643 crore. With an impressive ROE of 32.9%, the firm has demonstrated strong profitability and efficient use of equity, standing out as a leader in its sector.

But the company that has shown the most substantial growth happens to be Cochin Shipyard, with an astounding 332.8% increase, elevating its m-cap from ₹7,935 crore to ₹34,339 crore, leaping from the 402nd spot to 211. The company had an ROE of 16.6%, reflecting solid returns but still lags behind

some of its peers in profitability.

Lastly, Garden Reach Shipbuilders and Engineers also logged notable progress, advancing from the 472nd spot to 389th. It posted a 131.4% increase, with m-cap reaching ₹14,216 crore from ₹6,145 crore. Matching its peers, the firm also boasts an ROE of 23.1%, showcasing its strong financial health and efficient equity utilisation.

These figures underline the strong momentum in the shipbuilding and logistics sectors, highlighting significant contributions to India's industrial and economic growth. This growth finds further validation in the container shipping sector, which emerged as a standout performer in 2024. The sector's improvement in container and overall cargo volumes underscores enhanced efficiency in cargo handling while reinforcing the critical need to expand infrastructure to sustain this upward trajectory.

“Programmes like the Sagar-

mala initiative and the Maritime India Vision (MIV) 2030, have played a pivotal role in improving port infrastructure and operational capacity to streamline the overall operations within the sector,” says Nikhil Agarwal, President of CJ Darcl Logistics Ltd.

“While container shipping also faces challenges such as port congestion, fuel costs, and environmental regulations. To address these challenges, the industry needs to embrace new technologies,” Agarwal adds.

On the other hand, the cargo traffic handled at the country's major ports increased at a steady rate year-on-year for the third consecutive month ending August 2024. It grew by 6.8% in the month of June 2024, followed by a growth of 6% and 6.7% in July 2024 and August 2024, respectively.

The cargo traffic handled at the country's minor ports also rose in July by 2.8%. Overall, the